

Question 1

Question ID: 1575097

Suppose there is an investment available to you with an expected return of 6% and a standard deviation (risk) of 10%. Suppose further that your risk aversion coefficient is 2. The minimum risk-free guaranteed return you require to get the same utility as the risky investment is *closest* to:

A) 1%.



B) 3%.



C) 5%.



Explanation

The utility of the initial risky investment can be calculated as follows:

$$\text{Utility} = U = E(r) - \frac{1}{2} \times A \times \sigma^2 = 0.06 - 0.5 \times 2 \times 0.10^2 = 0.05.$$

Now, consider the investment with a guaranteed outcome: the risk (σ) of such an investment is zero, so the second term in the utility equation will also equal zero. To achieve the same 0.05 utility as the risky investment, the risk-free return needs to be at least 5%. So, based on our personal level of risk aversion, a guaranteed return of 5% is equivalent to a risky return of 6%. (Module 20.2, LOS 20.b)

Related Material

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Question 2

Question ID: 1575098

Portfolios that plot inside the minimum-variance frontier represent:

A) efficient portfolios.



B) inefficient portfolios.



C) unattainable portfolios.



Explanation

Portfolios that plot inside the minimum-variance frontier are inefficient because another portfolio exists with a higher expected return for the same level of risk, or a lower level of risk for the same expected return. Portfolios that plot on the minimum-variance frontier above the global minimum-variance portfolio are efficient. Portfolios that plot above the minimum-variance frontier are unattainable. (Module 20.4, LOS 20.f)

Related Material

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Question 3

Question ID: 1575099

An analyst has estimated that the returns for an asset, conditional on the performance of the overall economy, are:

Return	Probability	Economic Growth
5%	20%	Poor
10%	40%	Average
14%	40%	Good

The conditional expected returns on the market portfolio are:

Return	Probability	Economic Growth
2%	20%	Poor
10%	40%	Average
15%	40%	Good

According to the CAPM, if the risk-free rate is 5% and the risky asset has a beta of 1.1, with respect to the market portfolio, the analyst should:

A) sell (or sell short) the risky asset because its expected return is less than equilibrium expected return on the market portfolio.



B) buy the risky asset because the analyst expects the return on it to be higher than its required return in equilibrium.



C) sell (or sell short) the risky asset because its expected return is not sufficient to compensate for its systematic risk.



Explanation

The analyst's forecast of the expected return on the risky asset is $5(0.2) + 10(0.4) + 14(0.4) = 10.6\%$. The expected/equilibrium return on the market portfolio is $2(0.2) + 10(0.4) + 15(0.4) = 10.4\%$. The CAPM equilibrium expected return (required return in equilibrium) on the risky asset is $5 + 1.1(10.4 - 5) = 10.94\%$. Because the analyst's forecast return on the risky asset is less than its required return in equilibrium, the asset is overpriced and the analyst would sell if he owned it and possibly sell it short. (Module 21.2, LOS 21.h)

Related Material

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Question 4

Question ID: 1575100

A manager who evaluates portfolios' investment performance adjusted for systematic risk is *most likely* to rank portfolios based on their:

A) Sharpe ratios.



B) Treynor measures.



C) M-squared measures.



Explanation

The Treynor measure is stated in terms of systematic (beta) risk. The Sharpe ratio and M-squared measure are defined in terms of total risk (standard deviation). (Module 21.2, LOS 21.i)

Related Material

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Question 5

Question ID: 1575101

Which of the following activities is *most likely* to be performed as part of the execution step of the portfolio management process?

A) Completion of the investment policy statement.



B) Top-down analysis based on macroeconomic conditions.



C) Rebalancing the portfolio to the desired asset class exposures.



Explanation

The execution step of the portfolio management process typically begins with a topdown analysis of economic variables. The investment policy statement is completed during the planning step. Asset class rebalancing is part of the feedback step. (Module 85.1, LOS 85.d)

Related Material

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Question 6

Question ID: 1575102

A written investment policy statement should *most appropriately*:

A) establish a target asset allocation strategy.



B) focus predominantly on a long-term time horizon.



C) include risk objectives that are consistent with the investor's return requirements.



Explanation

Strategic asset allocation is often a part of the written IPS because it helps solidify desired initial weightings to specific asset classes. Different investors will have different applicable time horizons which must be considered and evaluated appropriately as part of the investment policy statement. Required returns should be consistent with risk objectives, but high return requirements should not necessarily imply high risk objectives. (Module 86.1, LOS 86.a)

Related Material

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Question 7

Question ID: 1575103

An analyst is *most likely* to be exhibiting availability bias when he:

A) estimates the probability of an outcome based on how easily information is recalled.



B) values an asset more when he owns it than when he does not own it.



C) relies on an initial piece of information to make subsequent estimates, judgments, and decisions.



Explanation

Availability bias is an information-processing bias in which people estimate the importance of a phenomenon or the probability of an outcome based on how easily information is recalled. Four major sources of availability bias are relevant to financial market participants: retrievability, categorization, narrow range of experience, and resonance. Endowment bias is an emotional bias in which people value an asset more when they own it than when they do not own it. Anchoring and adjustment bias is relying on an initial piece of information to make subsequent judgments, estimates, and decisions. (Module 87.1, LOS 87.b)

Related Material

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Question 8

Question ID: 1575104

Which of the following risk management strategies is *most accurately* described as shifting a risk?

A) A retail store owner buys a fire insurance policy on the building.



B) A farmer takes a short position in a futures contract to deliver wheat.



C) A portfolio manager diversifies her investments across different industries.



Explanation

Shifting a risk is changing the distribution of possible outcomes. An example of shifting a risk is hedging price risk with a derivatives contract. Insurance is an example of transferring a risk. Diversification is best described as a method for bearing a risk efficiently. (Module 88.1, LOS 88.g)

Related Material

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